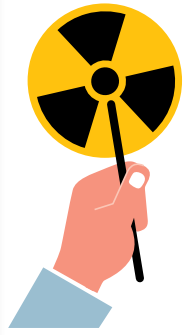
fence manufacturers play a pivotal role in strengthening national security. The total allocation under defence is Rs 6.81 lakh crore—a 4.65 per cent increase over last year.

THE BENEFITS

The budget underscores a shift towards network-centric warfare, towards real-time intelligence sharing and strategic coordination across military branches, stressing smart surveillance grids, innovation in AI, robotics and space technology. With theatre commands soon to be a reality, this aligns with the Ministry of Defence's vision for 2025 as the "Year of Reform". The defence R&D funding points at a shift towards disruptive technologies—that bring about radical change and disrupt conceptual habits—like quantum technologies and hypersonic systems. The Rs 20,000 crore boost for private sector-led R&D encourages firms to develop defence solutions. This helps the economy by promoting dual-use technologies with commercial applications too. ■

ENERGY

IN NUCLEAR SMALL IS BEAUTIFUL

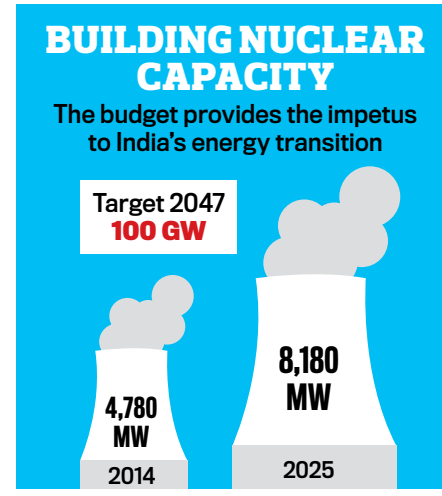


Budget 2025 has prioritised nuclear energy as a cornerstone of India's energy transition, setting an ambitious target of 100 GW nuclear power capacity by 2047. For an "active partnership with the private sector towards this goal", finance minister Nirmala Sitharaman promised amendments to the Atomic Energy Act and the Civil Liability for Nuclear Damage Act. She also announced the launch of the Nuclear Energy Mission with a Rs 20,000 crore allocation for research & development of Small Modular Reactors (SMRs). The plan is to operationalise at least five indigenously developed SMRs by 2033.

By prioritising nuclear energy, the budget addresses two critical challenges: energy security and climate change

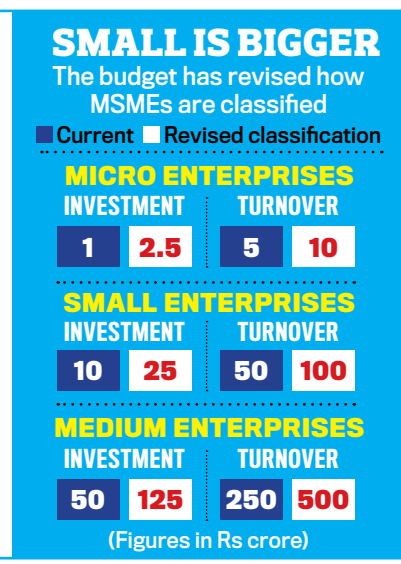
THE BENEFITS

By targeting 100 GW of nuclear capacity by 2047, the budget addresses two critical challenges: energy security and climate change. Nuclear power provides a stable, low-carbon energy source, which will help India retire its ageing thermal power plants and meet its international climate commitments. As of January 30, 2025, India's nuclear capacity is 8,180 MW. The emphasis on SMRs is particularly beneficial, as they are cost-effective, scalable and suitable for remote locations, complementing renewable energy sources like solar and wind. The Rs 20,000 crore allocation for SMRs and the push for indigenous technology development will boost India's self-reliance in nuclear energy. Public-private partnerships, such as the development of Bharat Small Reactors (BSRs), will enable industries to adopt cleaner energy solutions, aiding decarbonisation efforts. In his remarks on the budget, Prime Minister Narendra Modi said that civil nuclear energy will ensure a significant contribution to the country's development in the future. ■



Trust for the MSE scheme which has facilitated 10 million such guarantees to them. Additionally, export-led MSMEs will now get cover for term loans of up to Rs 20 crore. Further, 1 million micro-enterprises will receive credit cards with a Rs 5 lakh limit, and 500,000 first-time entrepreneurs from among women and the SC and ST communities will have access to loans of up to Rs 2 crore during the next five years.

The credit guarantee for collateral-free loans has been doubled from Rs 5 cr. to Rs 10 cr. for MSEs



THE BENEFITS

All these measures are expected to inject Rs 1.5 lakh crore in additional credit to MSMEs over the next five years. The budget's focus on incremental credit could improve liquidity and enable MSMEs to access capital at competitive rates, says Hemant Jain, president, PHDCCI. Meanwhile, bank credit to MSMEs has been growing faster than for large enterprises. As of November 2024, credit to MSMEs saw Y-o-Y growth of 13 per cent; it was 6.1 per cent for large enterprises. ■